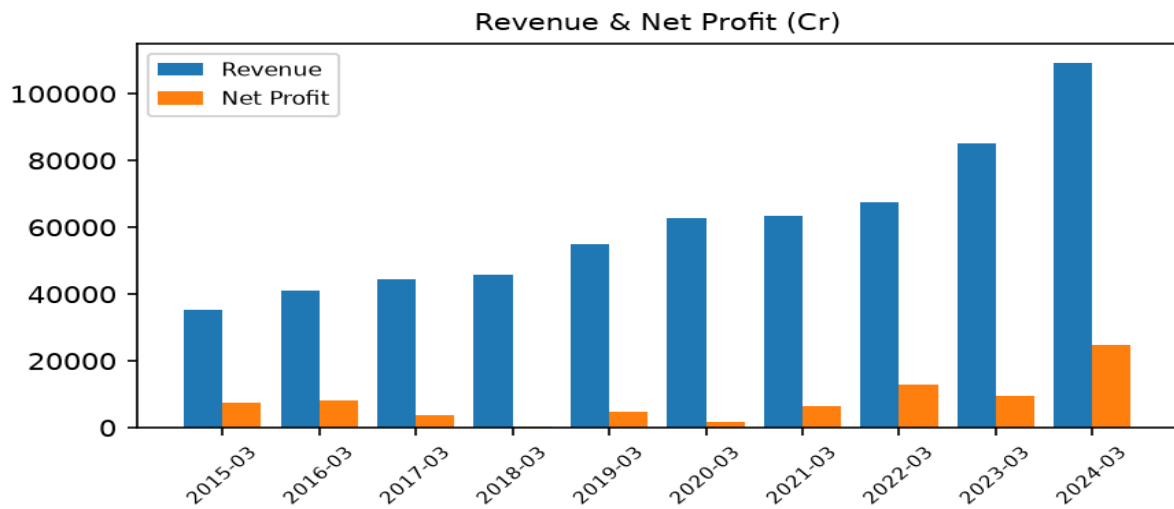


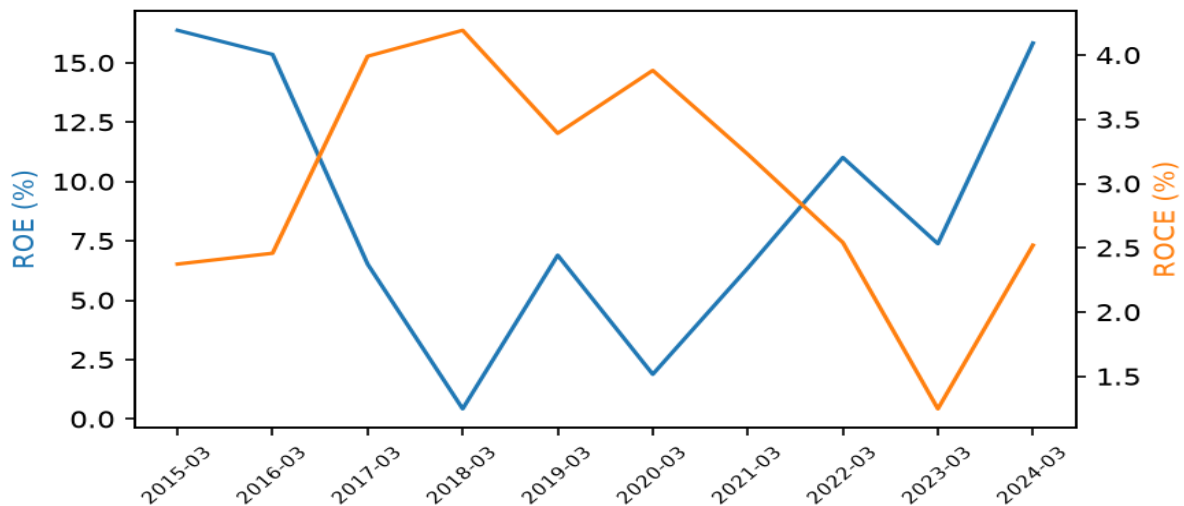
Axis Bank Ltd (AXISBANK)

ROE 15.8%	ROCE 2.5%	Net Profit Margin 22.7%
D/E 8.2	Revenue CAGR 5yr 14.7%	Free Cash Flow (Cr) -14556.0

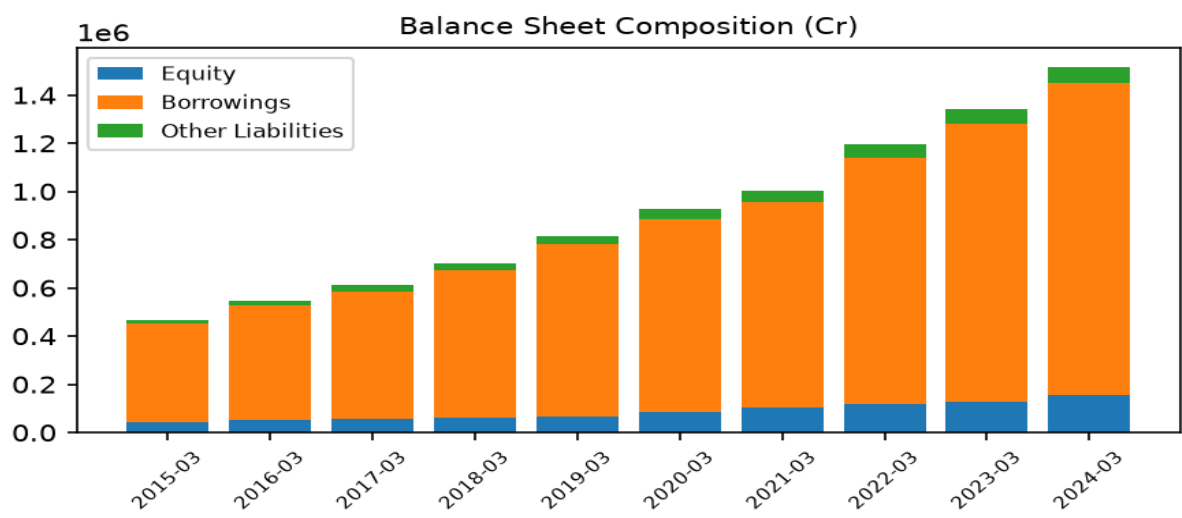
Revenue & Net Profit (10yr)



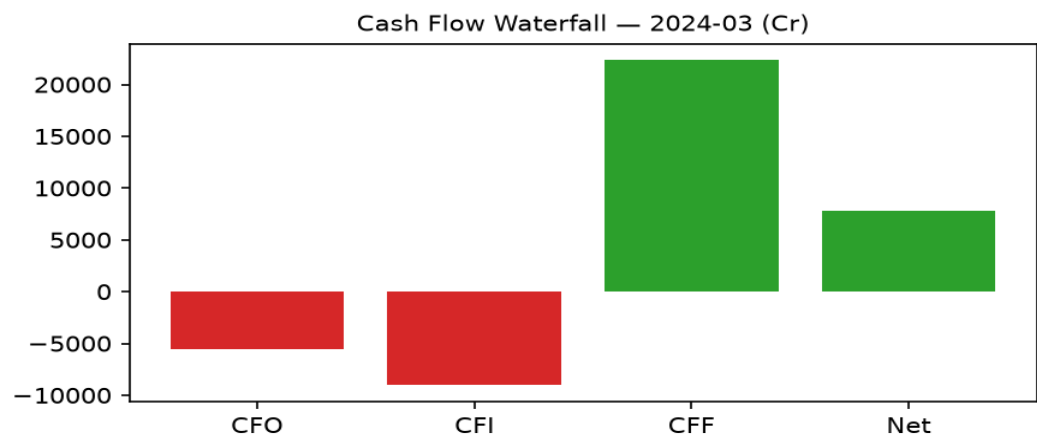
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 8.25 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt